

FirstFT World

FirstFT: Janet Yellen says persistent inflation is a problem to many Americans

Also in today's newsletter, Texas's green energy boom, and Europe's demographic crisis



US Treasury secretary Janet Yellen said in Stresa, Italy: 'The cost of living is a problem to a lot of people' © Reuters

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Good morning. We start today with US Treasury secretary Janet Yellen expressing concern over “substantial” rises in living costs being a “problem to a lot of people” as persistent inflation dents President Joe Biden’s standing with voters ahead of November’s election.

Prices for housing and everyday goods were still high for many voters, Yellen acknowledged, despite strong wage growth in recent months.

“They see it when they shop for food. They see it in terms of rentals. With higher mortgage rates, it’s tough for young people who would like to buy a house to enter the market,” Yellen said in an interview with the Financial Times on Thursday.

The comments from the US’s most senior economic official come as polls show Biden continuing to trail his Republican rival Donald Trump with just over five months until the presidential election.

Surveys consistently also indicate [respondents do not credit Biden with the US economy’s strong performance](#) in recent months, with inflation still one of their top concerns. [See what else Yellen said to the FT here.](#)

US stocks: Wall Street [reversed early gains](#) yesterday, amid signs of an uptick in business activity in the world’s biggest economy and another set of blockbuster results from chipmaker Nvidia.

And here’s what else I’m keeping tabs on today and over the weekend:

Economic data: The University of Michigan has its consumer sentiment survey for the US.

Nato: The spring session of the military alliance’s parliamentary assembly opens in Sofia, Bulgaria, today.

Europe: French President Emmanuel Macron will make a state visit to Germany on Sunday, while Lithuania holds its presidential election run-off.

How well did you keep up with the news this week? [Take our quiz.](#)

Five more top stories

1. Business executives say they want a clear victor to emerge from the UK general election after years of political upheaval that wreaked havoc with policymaking and financial markets. They called for the next government to overhaul the planning system and upgrade infrastructure to kick-start the economy after Prime Minister Rishi Sunak called a snap election for July 4. [Find out what else chief executives want from the winning party here.](#)

Election timeline: Here are some of the [key moments](#) to watch in the six weeks to election day.

Inside Politics: Stephen Bush explains how Sunak's Tories have managed to [ambush themselves](#) with the election. Sign up for the newsletter [here](#).

2. Starwood Capital's \$10bn property fund is strictly limiting its investors' ability to exit as it preserves liquidity and avoids a fire sale of assets in what it believes are poor markets. The fund, known as Sreit, told investors yesterday it would limit redemptions to 0.33 per cent of its net assets a month, compared with as much as 2 per cent, the amount it has allowed them to redeem since its inception in 2018. [More details here.](#)

3. Hedge fund manager Pierre Andurand expects the price of copper to almost quadruple to \$40,000 a tonne in the next few years, a conviction that has helped his \$1.3bn fund recover from losses due to bullish oil bets last year. The metal's price has risen almost 20 per cent this year, touching a record \$11,000 a tonne this week. [Here's why Andurand believes it has much further to run.](#)

4. Donald Trump tried to woo reluctant New Yorkers at his Bronx rally on Thursday, where he promised to refurbish the subway and to improve affordability and security if elected. For Trump, whose father, Fred, was born in the Bronx, the neighbourhood was a useful backdrop to further his outreach to Black and Latino voters. Recent polls suggest Trump is on track to more than double his support among Black voters in 2020 to about 20 per cent. [Read the full story here.](#)

5. Exclusive: EU ministers plan to demand a crackdown on multinational companies that vary prices for the same product by country, costing consumers an estimated €14bn a year. Eight governments will present a paper today to the European Commission asking it to toughen single-market rules to stop effective bans on so-called parallel trading. [Andy Bounds and Paola Tamma have more from Brussels.](#)

The Big Read



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This year could mark a turning point in the EU's history. Its population of 448mn is beginning a decline that is expected to persist, marking an unprecedented shrinkage in peacetime, according to UN projections. Last year, EU births fell to levels Eurostat had not forecast for another two decades. This suggests that a peak in the region's population could come before the previously predicted 2026, straining government finances and the bloc's long-term prospects. [Is Europe reaching its demographic tipping point?](#)

We're also reading...

The Mandela effect: Did the South African leader die in prison? We should hardly be surprised that we can remember clearly, in detail and with great confidence, [things that simply did not happen](#), writes Tim Harford.

Wage insurance: New evidence from the US suggests that a scheme in which the government insures older jobseekers against pay cuts [could pay for itself](#), writes Soumaya Keynes.

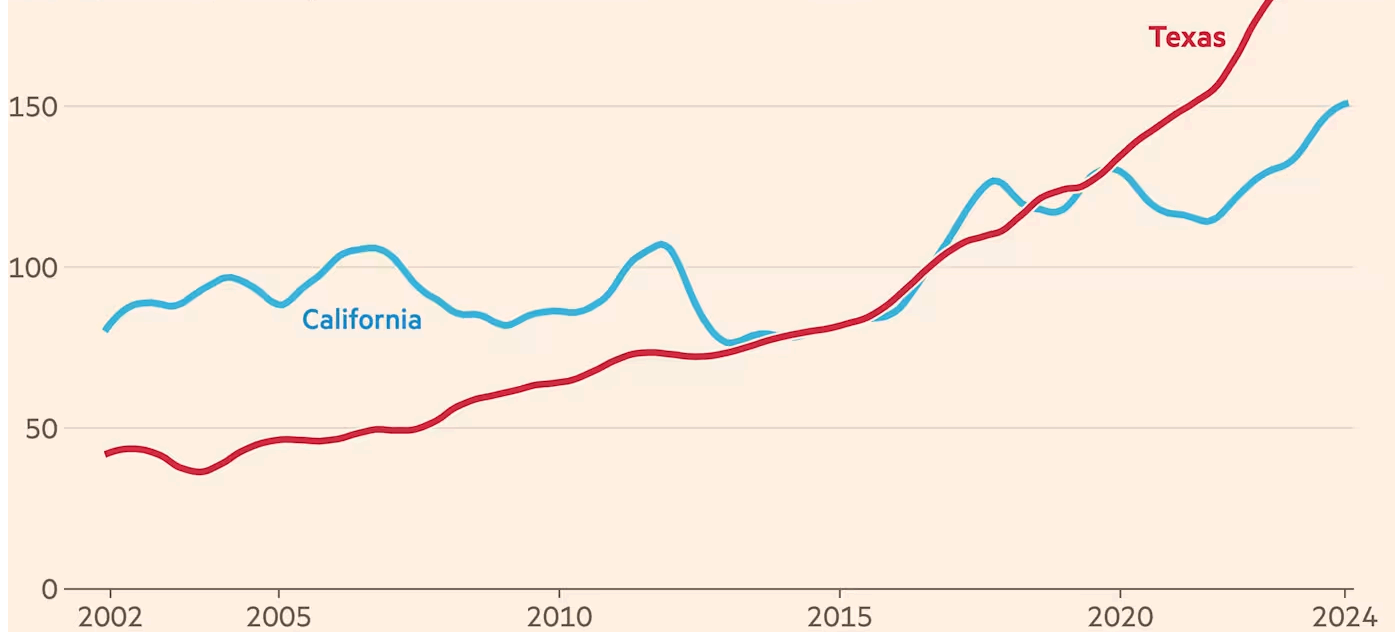
Cannes and #MeToo: Iris Knobloch, the first woman leading the world's biggest film festival, must steer it through [mounting sexual misconduct scandals](#) rocking the French film world.

Chart of the day

Red Texas has become the model for going green, says chief data reporter John Burn-Murdoch. For the first time, the fossil fuel rich state of Texas generated more electricity from solar power than from coal, setting a new US-wide record for gigawatts of energy generated from solar farms. California, the progressive stronghold that has mandated clean energy targets for more than 20 years, has been pushed into second place. [Find out why the Lone Star state has entered into a green energy boom](#).

After trailing for years, Texas has become America's clean energy giant

Rolling annual power generation from all clean sources* (TWh)



*Wind, solar, hydro, other renewables, nuclear, bioenergy

Source: Ember

FT graphic: John Burn-Murdoch / @jburnmurdoch

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Take a break from the news

We all like to cook easy, comforting dishes that would hopefully work well at dinner parties. Top chefs are no different. From Nigella Lawson to Asma Khan, FT Magazine speaks to 18 of the best cooks about the [old recipes they return to frequently](#).



Anna Del Conte's chickpea and pasta soup, a recipe Nigella Lawson knows off by heart © Emli Bendixen. Styling by Esther Clark
Additional contributions from Tee Zhuo and Benjamin Wilhelm

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